- *Managed policy*—If you want to create identity policies that can be reused in your account, a managed policy is what you're looking for. There are two types of managed policies:
  - *AWS managed policy*—An identity policy maintained by AWS. There are identity policies that grant admin rights, read-only rights, and so on.
  - *Customer managed*—An identity policy maintained by you. It could be an identity policy that represents the roles in your organization, for example.
- *Inline policy*—An identity policy that belongs to a certain IAM role, user, or group. An inline identity policy can't exist without the IAM role, user, or group that it belongs to.

With CloudFormation, it's easy to maintain inline identity policies; that's why we use inline identity policies most of the time in this book. One exception is the `mycli` user: this user has the AWS managed policy `AdministratorAccess` attached.

WARNING Using managed policies can often conflict with following the least-privilege principal. Managed policies usually set the `Resource` property to `*`. That's why we attach our own inline policies to IAM roles or users.

5.3.4 Users for authentication and groups to organize users

A user can authenticate using either a username and password or access keys. When you log in to the Management Console, you're authenticating with your username and password. When you use the